

Court No. - 40

Case :- WRIT - C No. - 9405 of 2023

Petitioner :- Gill Polymers Through Its Proprietor

Respondent :- U.P. Power Corporation Limited And 2 Others

Counsel for Petitioner :- Rohit Kumar Singh

Counsel for Respondent :- Kartikeya Saran

Hon'ble Mahesh Chandra Tripathi,J.

Hon'ble Manjive Shukla,J.

Heard learned counsel for the petitioner and Sri Vinayak Ranjan, learned counsel for respondent no.1 and 2.

The present writ petition is preferred by M/s Gill Polymers through its Proprietor Naresh Gill assailing the validity of rejection/disapproval order dated 15.02.2023 passed by the respondent no.2/Executive Engineer, EDD-III, Shamli for the new electricity connection of the petitioner and further directing the Power Corporation/respondent no.1 and 2 for providing the new electricity connection to the petitioner as the resolution plan was already approved by the Corporate Insolvency Resolution Process (CIRP) under the provision of 31 of the Insolvency and Bankruptcy Code 2016 (IBC 2016) and under Section 31 of the "IBC 2016" the statutory dues owed by the Central Government, any State Government or any local authority if not part of the resolution plan shall stand extinguished.

Learned counsel for the petitioner submits that against M/s Sikka Papers Ltd., which was engaged in the business of manufacturing of paper and paper products proceeding under the IBC 2016 has initiated. The moratorium under Section 14 of the IBC 2016 was issued on 24.04.2014 and invitation for Expression of Interest (EOI) was made by Resolution Professional (RP). The petitioner firm applied for the said resolution, which was finally approved on 01.04.2022 by the National Company Law Tribunal, Principal Bench, New Delhi in Company Petition no.2256/2020 in the matter of M/s Oriental Bank of Commerce vs. M/s Sikka Paper Ltd. He submits that the Paschimanchal Vidyut Vitran Nigam Ltd. has not put any claim in the said proceeding and consequently, the petitioner has applied for a new electricity connection on 16.01.2023 alongwith requisite fee. He submits that relevant rules/act mandates the respondents to accord electricity connection within a months time, however, the respondents have failed to do so. In support of his submission, he has placed reliance on the

dictum of Hon'ble Apex Court in ***Ghanashyam Mishra and sons Private Ltd. thru' the Authorized Signatory vs. Edelweiss Asset Reconstruction Company Ltd through the Director and others*** 2121 9 SCC 657 and the order passed by National Company Law Appellate Tribunal, Principal Bench, New Delhi in ***Company Appeal (AT) (Insolvency) no.62/2022, Damodar Valley Corporation vs. Dimension Steel and Alloys and others*** dated 23.05.2022, paragraph 20.

On the request of Shri Vinayak Ranjan, learned counsel for respondent no.1 and 2, the matter is pass over for enabling him to study the matter and then address the Court.

Put up as fresh on 06.04.2023.

Order Date :- 24.3.2023

A. Pandey

Court No. - 3

Case :- WRIT - C No. - 9405 of 2023

Petitioner :- Gill Polymers Through Its Proprietor

Respondent :- U.P. Power Corporation Limited And 2 Others

Counsel for Petitioner :- Rohit Kumar Singh

Counsel for Respondent :- Kartikeya Saran

Hon'ble Surya Prakash Kesarwani,J.

Hon'ble Anish Kumar Gupta,J.

Heard Sri Rohit Kumar Singh, learned counsel for the petitioner and Sri Vinayak Ranjan holding brief of Sri Kartikeya Saran, learned counsel for the respondent Nos.1 and 2.

Despite order dated 24.03.2023, learned counsel for the respondent Nos.1 and 2 could not get instructions. He prays for further time to obtain instructions.

In view of the aforesaid, we direct the respondent Nos.1 and 2 to file a counter affidavit within two weeks from today failing which the respondent No.2 shall remain personally present before this court and shall show cause for non-compliance of the orders.

List/ put up in the additional cause list **on 20.04.2023 at 02:00 P.M.**

Order Date :- 6.4.2023

NLY

Court No. - 3

Case :- WRIT - C No. - 9405 of 2023

Petitioner :- Gill Polymers Through Its Proprietor

Respondent :- U.P. Power Corporation Limited And 2 Others

Counsel for Petitioner :- Rohit Kumar Singh

Counsel for Respondent :- Kartikeya Saran

Hon'ble Surya Prakash Kesarwani,J.

Hon'ble Anish Kumar Gupta,J.

1. Heard Sri Rohit Kumar Gupta, learned counsel for the petitioner and Sri Vinayak Ranjan holding brief of Sri Kartikeya Saran, learned counsel for the respondent Nos.1 and 2.

2. This writ petition has been filed praying for the following relief:

"I. Issue a writ, order or direction in the nature of certiorari quashing the rejection/disapproval of electricity connection dated 15.02.2023 by the respondent no.2/Executive Engineer, EDD-III, Shamli on the ground that balance of dues against the previous Company M/s Sikka Paper Ltd. during the pendency of the present writ petition.

II. Issue a writ, order or direction in the nature of mandamus directing the respondent no.1 and 2 to provide the electricity connection immediately to the petitioner as the resolution plan was already approved by the Corporate Insolvency Resolution Process (CIRP) under the provision of 31 of the Insolvency and Bankruptcy Code, 2016 (IBC) in accordance to Section 31 of the "IBC 2016" the statutory dues owed by the Central Government, any State Government or any local authority if not part of the resolution plan shall stand extinguished."

3. Briefly stated facts of the present case are that the account of the company - M/s Sikka Papers Ltd., Sikka, Village Shamli, Muzaffarnagar, incorporated on 21.09.1984; was declared NPA on 31.12.2009 and the Financial Creditors took possession of the plant on 09.10.2010. One of the Financial Creditors, namely M/s Oriental Bank of Commerce preferred an application under Section 30(6) of Insolvency and Bankruptcy Code, 2016 (hereinafter referred to as 'the IBC') for initiation of Corporate Insolvency Resolution Process. In the aforesaid Company Petition bearing No.(IB)-939 (PB)/2018, after following due process of law, the respondent No.3 was appointed as Resolution Professional on 22.05.2019, who published an invitation for Expression of Interest (EoI) in Form-G in newspapers

namely 'Financial Express', 'Jansatta', 'the Pioneer' and 'Hindu'. The petitioner submitted a resolution plan which, after following due process of law, was approved on 01.04.2022 by the National Company Law Tribunal, Principal Bench at New Delhi in the aforesaid Company Petition No.(IB)-939 (PB)/2018 (M/s oriental Bank of Commerce vs. M/s. Sikka Papers Ltd.). Thereafter, the petitioner applied for a new electricity connection on 16.01.2023 complying with all necessary formalities, for 200 KW load to run the company. The respondent No.3 also wrote letters to the respondent No.2 requesting him to grant new electricity connection to the petitioner and also apprised the respondent No.2 that M/s Sikka Papers Ltd. was undergoing through Corporate Insolvency Resolution Process vide order dated 24.04.2014 and by order dated 01.04.2022, the NCLT has approved the resolution plan submitted by the resolution-applicant, i.e. the petitioner and the said approved resolution plan is binding upon all the stake-holders including the respondent No.2 to whom a debt in respect of the payment of dues arising under any law for the time being in force, was existing. Despite the aforesaid facts, the respondent No.2 rejected the application of the petitioner by the impugned order dated 15.02.2023 on the ground that there are dues of Rs.2,14,87,794/- in respect of electricity connection in the name of M/s Sikka Papers Ltd. It is admitted case of the of the respondent Nos.1 and 2 that they have not filed any claim before the Resolution Professional and the Resolution Plan has been approved by the NCLT by order dated 01.04.2022.

4. In the counter affidavit, the respondent No.2 has taken the stand that as per clause 4.3(f)(2) of the U.P. Electricity Supply Code, 2005, before a sale of premise is made, the outstanding dues has to be cleared or in alternative deed of agreement/ sale will specifically mention the outstanding dues and method of its payment. Since there are dues against the M/s Sikka Papers Ltd., therefore, unless the dues are paid and 'No Objection Certificate' is obtained, new electricity connection cannot be granted in the premises.

5. In the counter affidavit, the respondents have not specifically replied to

any of the paragraphs of the writ petition with respect to averments made referring to the provisions of Section 37(c), Section 30 and Section 31 of the IBC.

6. Section 238 of the IBC provides that the provisions of the IBC shall have effect notwithstanding anything inconsistent therewith contained in any other law for the time being in force or any instrument having an effect by virtue of any such law. Section 31 of the IBC provides that the resolution plan approved by the adjudicating authority shall be binding on the corporate debtor and its employees, members, creditors, including the Central Government, any State Government or any local authority to whom a debt in respect of the payments of dues arising under any law for the time being in force, such as authorities to whom any statutory dues are owed, guarantors and other stakeholders involved in the resolution plan. It is not the case of the respondent No.2 that the electricity dues are not part of the approved resolution plan.

7. In the case of **Ghanshyam Mishra and Sons Pvt. Ltd vs. Edelweiss Asset Reconstruction Company Ltd. through the Director and others, (2021) 9 SCC 657 (Para-95)**, Hon'ble Supreme Court held as under:

“95. In the result, we answer the questions framed by us as under:

(i) That once a resolution plan is duly approved by the Adjudicating Authority under sub- section (1) of Section 31, the claims as provided in the resolution plan shall stand frozen and will be binding on the Corporate Debtor and its employees, members, creditors, including the Central Government, any State Government or any local authority, guarantors and other stakeholders. On the date of approval of resolution plan by the Adjudicating Authority, all such claims, which are not a part of resolution plan, shall stand extinguished and no person will be entitled to initiate or continue any proceedings in respect to a claim, which is not part of the resolution plan;

(ii) 2019 amendment to Section 31 of the I&B Code is clarificatory and declaratory in nature and therefore will be effective from the date on which I&B Code has come into effect;

(iii) Consequently all the dues including the statutory dues owed to the Central Government, any State Government or any local authority, if not part of the resolution plan, shall stand extinguished and no proceedings in respect of such dues for the period prior to the date on which the Adjudicating Authority grants its approval under Section 31 could be continued.”

8. In view of the above discussion, we find that the ground taken by the respondent No.2 in the impugned order to reject the application of the petitioner for new electricity connection is totally unsustainable and in conflict with the provisions of IBC as well as the law laid down by the Hon'ble Supreme Court in the case of **Ghanshyam Mishra and Sons Pvt. Ltd (supra)**. Therefore, **the impugned order dated 15.02.2023** cannot be sustained and **is hereby quashed**. A direction is issued to the respondent No.2 to consider the application of the petitioner for new electricity connection and pass an appropriate order within two weeks from the date of submission of a certified copy of this order.

9. The writ petition is **allowed** to the extent indicated above.

Order Date :- 20.04.2023

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